

Globalization and market integration



Globalization can be a confusing, woolly term. From an economist's point of view, it is about the integration of markets that were previously separated by geography. Globalization is enhanced when English potatoes and French potatoes compete for the same consumers in England and France, where before they were only bought and sold in their countries of origin. An indication of economic globalization, then, is the equalization of prices of goods in different places – potatoes in London and in Paris.

Globalization occurs when transport costs become low enough to make it profitable to trade. The development of shipping and railways in the 19th century was a major spur. Governments can assist the process by cutting tariffs, or hinder it by raising them. Since the Second World War, globalization of markets for goods and services has proceeded apace. Financial globalization has

also progressed. Labour migration is another, politically charged component of globalization.